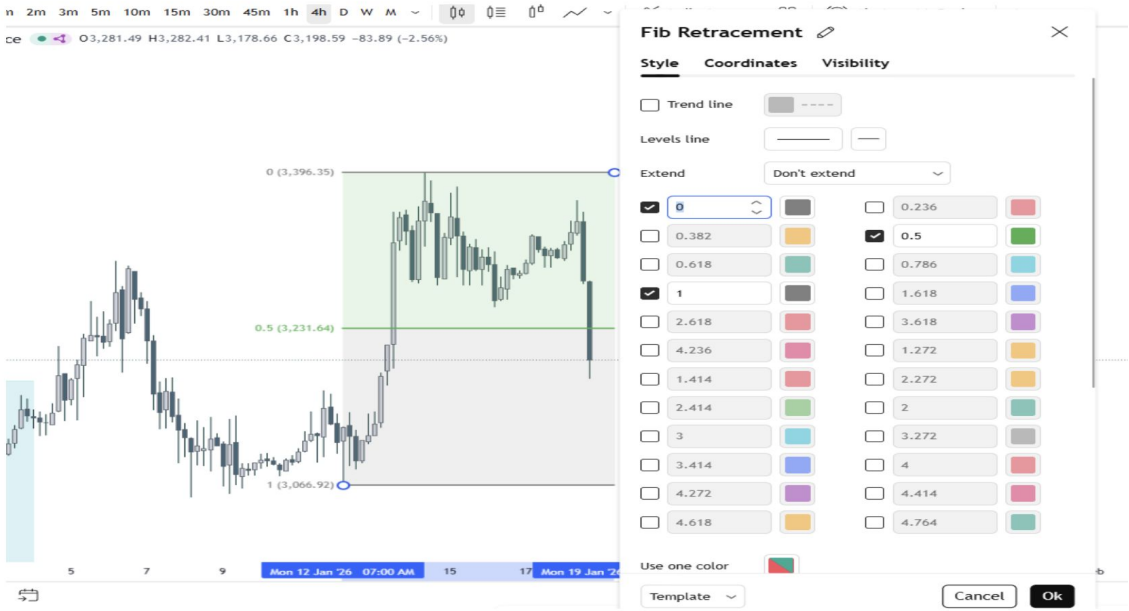
PREMIUM & DISCOUNT

Meaning of Premium and Discount

Let's understand it by an example. Suppose you want to buy a car having a market value of 5Lakh. Now the basic/fair value of the car is 5Lakh. Premium is the amount paid above the basic/fair value. So anything above the fair value(5Lakh) will be a premium price. While discount is the price less than fair/basic value. So the price of a car below 5 lakh will be discounted price. Now question yourself, will you buy the car at premium or discount? Of course at a discount. Likewise in trading to buy anything a trader will be buying it at discount and to sell you will look for a premium price.

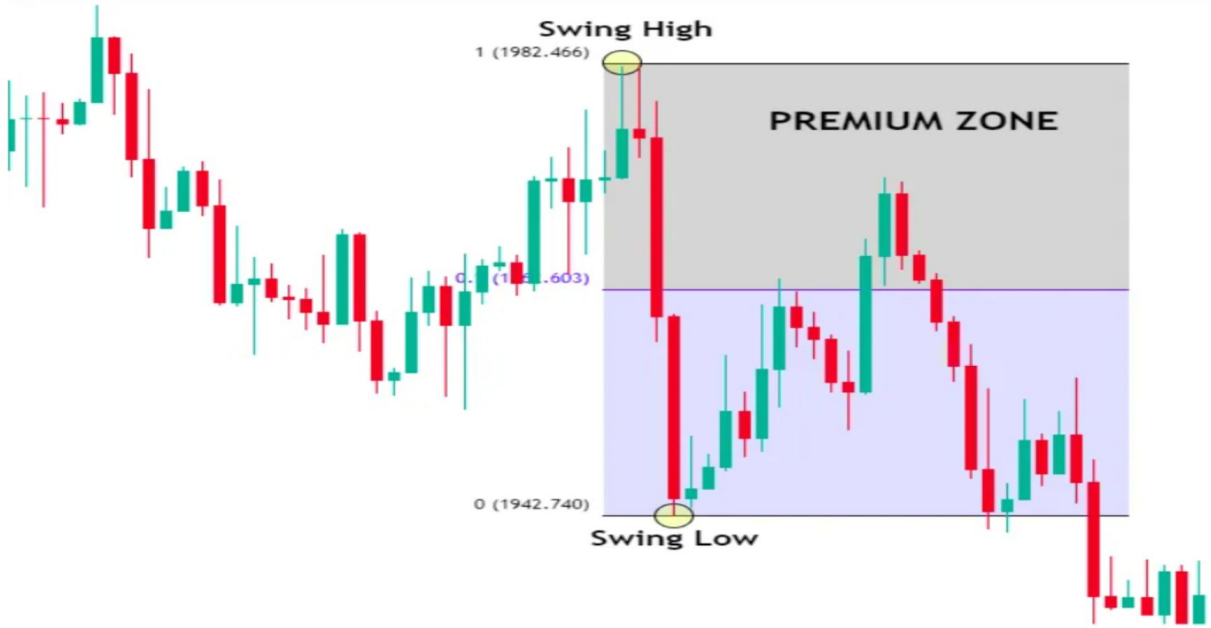
Fibonacci Settings for ICT Premium and Discount Zone

You have to set following inputs in fibonacci retracement tool for identification of ICT premium and discount zone. 1 Start 0.5 50% Retracement 0 End


Fib Retracement
Style
Coordinates
Visibility
Trend line
Levels line
Extend
Don't extend
0
0.236
0.382
0.5
0.618
0.786
1
1.618
2.618
3.618
4.236
1.272
1.414
2.272
2.414
2
3
3.272
3.414
4
4.272
4.414
4.618
4.764
Use one color
Template
Cancel
Ok
0 (3,396.35)
0.5 (3,231.64)
1 (3,066.92)

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1 bearish market .



entri

Bullish market.



entri

Does Premium and Discount Zone Change after Break of Structure?

Yes! after every break of structure you have to mark new Premium & Discount zone. Like in bearish trend when price breaks the low and marks a new low, you have to identify new premium zone (by drawing fib from latest swing high to swing low) for selling. While in bullish trend when price breaks the high and makes a higher high, you haveto look for fresh discount zone (by drawing fib from fresh low to fresh high) for buying.



THANK YOU